

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

Let's break down the problem step by step to determine the profit Josh made from flipping the house .

1 . **Initial Cost and Repairs : **

- Josh buys the house for \$ 80 , 000 .
- He then spends \$ 50 , 000 on repairs .

To find the total cost , we add these two amounts together :

$$\begin{aligned} \text{Total Cost} &= 80,000 + 50,000 \\ \text{Total Cost} &= 130,000 \end{aligned}$$

2 . **Value Increase : **

- The repairs increased the value of the house by 150 % .
- To calculate the new value , we need to determine what 150 % of the purchase price is .

First , convert 150 % to a decimal :

$$150 \% = 1.5$$

Next , multiply the purchase price by this decimal to find the increase in value :

$$\begin{aligned} \text{Increase in Value} &= 1.5 \times 80,000 \\ \text{Increase in Value} &= 120,000 \end{aligned}$$

3 . **Final Value of the House : **

- To find the new total value of the house , add the increase in value to the original purchase price :

$$\begin{aligned} \text{Final Value} &= 80,000 + 120,000 \\ \text{Final Value} &= 200,000 \end{aligned}$$

4 . **Calculating Profit : **

- Profit is calculated by subtracting the total cost from the final value of the house :

$$\begin{aligned} \text{Profit} &= \text{Final Value} - \text{Total Cost} \\ \text{Profit} &= 200,000 - 130,000 \\ \text{Profit} &= 70,000 \end{aligned}$$

Thus , the profit Josh made from flipping the house is :

<think>
1. Total cost = \$80,000 + \$50,000 = \$130,000
2. Increase in value = 1.5 * \$80,000 = \$120,000
3. Final value = \$80,000 + \$120,000 = \$200,000
4. Profit = \$200,000 - \$130,000 = \$70,000
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<answer>70000</answer>